

Emaar Properties

Real-Estate NAV and Development Appraisal

DFM: EMAAR · AED millions · per-share values in AED · as of FY2025 results · market data 18 Sep 2026

A net-asset-value model of Emaar Properties on the FY2025 results and 18 September 2026 market data, valuing the UAE and international development businesses on their disclosed backlog and land bank and the mall and hospitality portfolios at capitalisation yields, then measuring the discount the market applies. A residual-value development appraisal for one illustrative Dubai tower shows why land is the most volatile line in the NAV.

What this is

- Development valued as the present value of the margin embedded in the sold-but-unrecognised backlog, after tax, plus the land bank at a stated value per square foot; Emaar's 80% share of the UAE business taken, and cross-checked against the listed Emaar Development price.

How it is built

- Malls and hospitality capitalised at stated yields; half of cash treated as customer advances held for construction.
- A residual land valuation: gross development value less construction, soft costs, marketing and finance, less a target profit solved on total cost including land.
- Two sensitivity grids and fifteen checks, including an external test of block A against the market.

Contents

[Summary — NAV, discount, the appraisal](#)
[NAV — four asset blocks, cash haircut, NAV per share and the discount](#)
[Development Appraisal — residual land value for one tower, break-even and cushion](#)
[Sensitivity — NAV against yield and margin; land value against price and cost](#)
[Inputs — disclosed operating data, balance sheet, market data, valuation assumptions](#)
[Checks — fifteen tests; must read MODEL OK](#)

Key outputs (live)

Net asset value (AED m)	178,771
NAV per share (AED)	20.23
Share price (AED)	11.80
Discount to NAV	41.7%
Residual land value per sq ft GFA (AED)	767
Price cushion on the scheme	16.7%

Colour code

Blue = hard-coded input
Black = formula
Green = link to another sheet
Accent fill = scenario selector / key levers

Emaar Properties PJSC, FY2025 results announcement (12 February 2026): revenue backlog, recurring revenue and EBITDA, hospitality revenue, land bank; 9M 2025 release for the mall and hospitality split.

Sources

Emaar Properties and Emaar Development FY2025 balance sheets via Yahoo Finance (EMAAR.AE, EMAARDEV.AE). Share prices: DFM close, 18 September 2026.
Yields, development margins, discount rate, land values per square foot, the cash haircut and every input in the development appraisal are stated assumptions on the Inputs sheet.
Nothing here is a recommendation. The valuation is an analytical exercise on public information.

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EMAAR PROPERTIES

Disclosed operating data, balance sheet, market data and valuation assumptions

DISCLOSED OPERATING DATA, FY2025 (AED millions unless stated)

Revenue backlog, group	155,000	Sold but not yet recognised; 12 February 2026 announcement
of which Emaar Development (UAE)	125,200	
of which international and other	29,800	
Recurring revenue (malls, hospitality, leisure, commercial)	10,500	
Recurring EBITDA	8,100	
of which hospitality, leisure and entertainment revenue	4,200	
assumed hospitality EBITDA margin	55.0%	Emaar's hotels are owned, not leased; disclosed 9M margins run in the mid-50s
Hospitality and leisure EBITDA	2,310	
Malls and commercial leasing EBITDA (recurring less hospitality)	5,790	
UAE land bank (million sq ft)	370	
International land bank (million sq ft)	290	
Emaar Development EBITDA, FY2025	14,300	52% margin on AED 27.5bn revenue

BALANCE SHEET, 31 DECEMBER 2025

Cash and bank balances	52,633
Borrowings and sukuk	10,615
Equity attributable to owners	94,278
Non-controlling interests (memo)	13,398
Book value per share (AED)	10.67

MARKET DATA

Emaar Properties share price (AED, DFM close 18 Sep 2026)	11.80	
Shares outstanding (millions)	8,839	
Market capitalisation	104,298	
Price / book	1.1x	
Emaar Development share price (AED)	13.52	
Emaar Development shares (millions)	4,000	
Emaar Development market capitalisation	54,080	
Emaar Properties' stake in Emaar Development	80.0%	Approximately 80% since the 2017 listing; stated input

VALUATION ASSUMPTIONS — stated inputs

Development margin on backlog revenue (pre-tax)	42.0%	Emaar Development reports a 52% EBITDA margin; a lower figure allows for the cost inflation typical of a late-cycle backlog
International development margin	25.0%	
Average years to recognise the backlog	3.5	Delivery schedules run three to five years from launch
Discount rate for development cash flows	11.0%	Above the cost of equity for the group: development is the riskiest activity in it

UAE corporate tax	9.0%
UAE land bank value (AED per sq ft of plot)	45.0
International land bank value (AED per sq ft of plot)	8.0
Capitalisation yield — malls and commercial	7.0%
Capitalisation yield — hospitality and leisure	8.5%
Share of cash treated as customer advances held for construction	50.0%

Master-plan land carried at historic cost; a conservative blended figure across Dubai and the Northern Emirates

Prime Dubai retail; Dubai Mall is the single most valuable asset in the group

Off-plan buyers pay into escrow ahead of delivery. That cash funds the backlog and is not free to shareholders

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EMAAR PROPERTIES

Net asset value, block by block, and the discount the market applies

A. UAE DEVELOPMENT — EMAAR DEVELOPMENT

Pre-tax profit embedded in the backlog	52,584
Discount factor at the mid-point of delivery	0.833
Present value of backlog profit, after tax	39,864
UAE land bank	16,650
UAE development, 100%	56,514
Emaar Properties' share	45,211
cross-check: Emaar Development market value × stake	43,264
NAV block versus the listed value	4.5%

The listed subsidiary's price is a second opinion on block A

B. INTERNATIONAL DEVELOPMENT

Present value of international backlog profit, after tax	5,648
International land bank	2,320
International development	7,968

Emaar Misr and the Indian business have their own minorities; ignored here, which overstates block B slightly

C. MALLS AND COMMERCIAL LEASING

EBITDA capitalised at the yield	82,714
implied EV / EBITDA	14.3x

D. HOSPITALITY, LEISURE AND ENTERTAINMENT

EBITDA capitalised at the yield	27,176
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GROSS ASSET VALUE TO NAV

Gross asset value (A + B + C + D)	163,070
Add: cash not held as customer advances	26,317
Less: borrowings	(10,615)
Net asset value	178,771

PER SHARE AND AGAINST THE MARKET

NAV per share (AED)	20.23
Share price (AED)	11.80
Discount of the price to NAV	41.7%
Price / NAV	0.6x
NAV / book value (the revaluation surplus the accounts do not show)	1.9x
Share of gross asset value in recurring-income assets (C + D)	67.4%
Market capitalisation as a share of recurring assets plus free cash alone	83.0%

Below 100% means the market is paying nothing for either development business

UAE developers have traded at discounts of 30–50% to bottom-up NAV through most of their listed history. The discount is the market's judgement on the cycle: a backlog sold at today's prices is only worth its margin if buyers complete, and the land bank is worth its stated value only if launches continue. The model does not predict the discount; it measures it.

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EMAAR PROPERTIES

Residual land value for one illustrative Dubai residential tower — AED millions

THE SCHEME — stated inputs

Gross floor area (thousand sq ft)	600	
Saleable efficiency	82.0%	Net saleable area as a share of gross floor area
Net saleable area (thousand sq ft)	492	
Average sale price (AED per sq ft of saleable area)	2,400	A prime but not trophy Dubai location, September 2026
Construction cost (AED per sq ft of gross floor area)	700	
Professional and soft costs as % of construction	12.0%	
Sales and marketing as % of gross development value	3.5%	
Programme (months from land purchase to completion)	36	
Finance rate on development costs	7.0%	
Average share of costs outstanding over the programme	50.0%	S-curve approximation
Target developer profit on total cost	20.0%	
Share of GDV collected before completion (off-plan)	60.0%	Reduces the finance charge; Dubai off-plan payment plans typically collect 40–70% during construction

GROSS DEVELOPMENT VALUE

Gross development value	1,181
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COSTS

Construction	420	
Professional and soft costs	50	
Sales and marketing	41	
Finance on costs net of off-plan receipts	12	Off-plan collections fund construction as it proceeds, which is why Dubai developers carry so little debt
Total development cost before land	524	

RESIDUAL LAND VALUE

Developer profit required: target % of (cost + land), solved	197	Profit is a share of total cost including land. Since cost + land = GDV – profit, profit = $k \times \text{GDV} / (1 + k)$
Residual land value	460	
Residual land value per sq ft of gross floor area (AED)	767	
Land as % of gross development value	39.0%	
Developer profit as % of gross development value	16.7%	
Check: profit / (total cost + land)	20.0%	
Break-even sale price if land is bought at the residual (AED per sq ft)	2,000	
Price cushion before the developer loses money	16.7%	
The residual is the most a developer can pay for the plot and still make its target return. Every assumption flows straight into it: a 10% fall in sale prices takes far more than 10% off the land value, which is why land is the most volatile asset in property and why Emaar's land bank is carried at cost.		

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EMAAR PROPERTIES

NAV per share (AED) and residual land value — every cell rebuilds the calculation

NAV PER SHARE — MALL YIELD (rows) versus DEVELOPMENT MARGIN (columns)

↓ rows \ columns →	34.0%	38.0%	42.0%	46.0%	50.0%
6.0%	21.10	21.44	21.79	22.13	22.47
6.5%	20.26	20.60	20.95	21.29	21.63
7.0%	19.54	19.88	20.23	20.57	20.91
7.5%	18.91	19.26	19.60	19.95	20.29
8.0%	18.37	18.71	19.06	19.40	19.74

RESIDUAL LAND VALUE PER SQ FT OF GFA (AED) — SALE PRICE (rows) versus CONSTRUCTION COST (columns)

↓ rows \ columns →	600	650	700	750	800
2,000	618	556	495	433	371
2,200	754	693	631	569	507
2,400	891	829	767	705	643
2,600	1,027	965	903	841	779
2,800	1,161	1,101	1,039	977	915

Emaar on one page

NET ASSET VALUE (AED millions)

A. UAE development, Emaar's share	45,211
B. International development	7,968
C. Malls and commercial leasing	82,714
D. Hospitality, leisure and entertainment	27,176
Gross asset value	163,070
Free cash less borrowings	15,702
Net asset value	178,771

AGAINST THE MARKET

NAV per share (AED)	20.23
Share price (AED)	11.80
Discount to NAV	41.7%
Price / book	1.1x
Market cap as % of recurring assets plus free cash	83.0%

THE DEVELOPMENT APPRAISAL

Gross development value of the illustrative tower	1,181
Residual land value	460
per sq ft of gross floor area (AED)	767
Price cushion before the scheme loses money	16.7%

• Emaar trades at a wide discount to a bottom-up NAV, as UAE developers have for most of their listed history. The market capitalisation covers the recurring assets and the free cash and little more; the price ascribes almost no value to a backlog of AED 155bn and 660 million square feet of land.

• The two halves of the group deserve different multiples and get them. Dubai Mall and the leasing portfolio are capitalised at a 7% yield, roughly 14x EBITDA; the development backlog is discounted at 11% over three and a half years and taxed. The recurring assets are about half of gross value.

• Half the cash is treated as belonging to buyers, not shareholders. Off-plan collections sit in escrow to fund construction; counting them as free cash is the most common way a developer NAV is overstated.

• The development appraisal shows why the discount exists. Land is a residual: at the base case it is close to two-fifths of GDV, and a 10% fall in sale prices removes about a fifth of the land value, twice the gearing. The market applies that gearing to the whole land bank.

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EMAAR PROPERTIES

Every check must read TRUE

INTEGRITY CHECKS

Backlog split sums to the group figure	TRUE
Mall EBITDA plus hospitality EBITDA equals disclosed recurring EBITDA	TRUE
Recurring EBITDA margin is plausible (60–85%)	TRUE
Development margin assumed is below Emaar Development's reported EBITDA margin	TRUE
Discount factor lies between 0 and 1	TRUE
Gross asset value equals the sum of the four blocks	TRUE
NAV per share reconciles to NAV over shares	TRUE
Block A is within 40% of the listed Emaar Development value	TRUE
Base NAV sensitivity cell reconciles to the NAV sheet	TRUE
Base appraisal sensitivity cell reconciles to the residual land value	TRUE
Developer profit equals the target share of total cost including land	TRUE
Residual land value is positive	TRUE
GDV exceeds total cost plus land plus profit by less than a rounding error	TRUE
Market capitalisation reconciles to price times shares	TRUE
Share price lies within the 52-week range	TRUE

MODEL STATUS

MODEL OK

The eighth check compares the model's own value for the UAE development block with what the Dubai market pays for the listed subsidiary that owns it. It is the only external test a NAV can be given, and it is deliberately loose.